

Rule of 40

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Growth + profit threshold for SaaS/AI

PROFESSIONAL DEFINITION

The Rule of 40 holds that a healthy software or AI company's growth rate plus profit margin should sum to at least 40%, balancing growth against profitability.

WHO DEVELOPED IT

A heuristic popularised by venture and growth investors, attributed to Brad Feld and widely used in SaaS analysis.

WHY IT WAS DEVELOPED

It was developed as a quick test of whether a company's growth is being achieved at acceptable economic cost.

FIGURE 1 · RULE OF 40

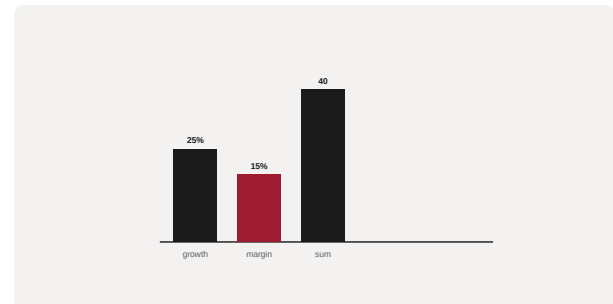


Figure 1. A schematic of the Rule of 40 as applied in BARBM312 (illustrative).

HOW IT IS USED

Growth rate and profit margin are summed; a result of 40 or more signals a healthy balance, prompting scrutiny if below.

WHEN IT IS USED

When assessing the health and fundability of growth-stage AI companies.

BY WHOM IT IS USED

Founders, investors and finance leaders.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It provides a single, memorable test balancing growth and profitability, widely adopted in growth-stage investing.

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SOURCES (HARVARD REFERENCING STYLE)

Feld, B. (2015) 'The rule of 40% for a healthy SaaS company', Feld Thoughts.
Bain & Company (2021) 'The Rule of 40'.